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Theme 6: Business Markets and Business Buyer Behavior

Business Markets

Business markets refer to the buying and selling of products and services between organizations rather than individual consumers.

This type of market is known as Business-to-Business (B2B) marketing.

Products may range from simple items like furniture and mobile phones to complex products such as aircraft, computer systems, and surgical instruments.

Major participants include manufacturers, service providers, and government institutions.

Business Buyer Behavior

Business buyer behavior refers to the actions and intentions of organizations when purchasing products or services.

Organizations buy products for production, operational use, resale, or rental purposes.

Wholesalers and retailers are also part of business buyer behavior because they purchase goods and sell them to others for profit.

Business Buying Process

Business buying process is the procedure through which organizations identify needs, evaluate alternatives, and purchase suitable products or services.

Understanding this process helps marketers develop strong and long-term relationships with business customers.

Characteristics of Business Markets

Business markets have fewer customers than consumer markets but generate higher revenue.

Business customers are usually concentrated in specific geographical areas.

Business demand is derived demand because it depends on consumer demand.

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There is a strong relationship and dependency between buyers and sellers.

B2B marketers closely work with customers to identify needs and provide after-sales support.

Explanation of Business Buying Process

Business purchases involve more professionalism and multiple decision-makers.

Organizations often create buying committees consisting of managers and purchasing experts.

Complex purchases require greater involvement and detailed analysis.

The process is more formal than consumer buying and requires documentation, specifications, proposals, and approvals.

Business decisions involve technical, economic, and financial considerations.

Model of Business Buyer Behavior

Marketing and environmental stimuli influence business buying decisions.

These stimuli enter the organization and are converted into buying responses.

The buying center and buying decision process are the two major components within the organization.

Organizational, interpersonal, individual, and environmental factors influence purchasing decisions.

Environmental Factors

Economic conditions affect business purchasing decisions.

Product demand influences buying behavior.

Availability of raw materials affects purchasing plans.

Competition, technology, politics, and culture also influence business buyers.

Marketers must understand these changes and convert challenges into opportunities.

Organizational Factors

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Every organization has its own mission, vision, policies, and procedures.

Decision-making structures differ from one organization to another.

Marketers need to know who is involved in purchasing decisions.

Understanding authority levels and evaluation criteria is essential.

Interpersonal Factors

Many people participate in business buying decisions.

Relationships, expertise, authority, and influence affect decisions.

The highest-ranking employee is not always the final decision-maker.

Marketers should understand group dynamics and interpersonal relationships.

Individual Factors

Every participant has different goals, experiences, and perceptions.

Age, gender, education, personality, and risk-taking ability affect decisions.

Some buyers focus on technical analysis while others excel in negotiations.

Individual buying styles influence the final purchase decision.

Straight Rebuy

Straight rebuy is a routine purchase without any changes.

The buyer reorders products from existing suppliers.

Past satisfaction and experience play an important role.

Minimal decision-making is required.

Modified Rebuy

Modified rebuy occurs when changes are made in product specifications, price, terms, or supplier.

More evaluation is required compared to straight rebuy.

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Existing suppliers try to maintain business relationships.

New suppliers attempt to attract customers with better offers.

New Task

New task occurs when a product is purchased for the first time.

Greater risk, cost, and research are involved.

More people participate in decision-making.

Buyers evaluate specifications, price, delivery, service, and payment terms.

Participants in the Business Buying Process

User

Users are the people who use the product or service.

They often identify the need and provide product specifications.

Influencer

Influencers provide technical information and recommendations.

They help evaluate products and alternative suppliers.

Buyer

Buyers have the authority to place orders and negotiate terms.

They are responsible for supplier selection.

Decider

Deciders have the authority to approve or reject suppliers.

They make the final purchasing decision.

Gatekeeper

Gatekeepers control the flow of information within the organization.

They may include technical staff or personal assistants.

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Steps of the Business Buying Process

Problem Recognition

The organization identifies a problem or need that requires a product or service.

General Need Description

The buyer describes the required product and quantity.

Product Specification

Detailed technical specifications are prepared.

Supplier Search

Potential suppliers are identified through various sources.

Proposal Solicitation

Qualified suppliers submit proposals and presentations.

Supplier Selection

The buyer evaluates proposals and chooses the best supplier.

Order-Routine Specification

Order details, warranties, maintenance, and delivery terms are finalized.

Performance Review

The supplier's performance is evaluated.

The buyer decides whether to continue or discontinue the relationship.

Institutional Markets

Institutional markets include schools, hospitals, railways, airlines, prisons, and similar organizations.

These institutions provide services to people under their care.

Most institutions operate under budget constraints.

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They seek good quality products at reasonable prices.

Government Markets

Government markets consist of government departments and agencies.

Governments purchase goods and services to perform public functions.

Purchases are generally made through competitive bidding.

Contracts are often awarded to the lowest qualified bidder.

Government buying decisions are influenced by environmental, organizational, and interpersonal factors.

Important Exam Points

Business Market = Sale of products and services to organizations (B2B).

Business Buyer Behavior = Organizational purchasing behavior for production, use, resale, or rental.

Derived Demand = Business demand depends on consumer demand.

Characteristics of Business Markets = Fewer customers, geographic concentration, derived demand, strong buyer-seller relationships.

Four Influences on Business Buying = Environmental Factors, Organizational Factors, Interpersonal Factors, Individual Factors.

Three Buying Situations = Straight Rebuy, Modified Rebuy, New Task.

Participants in Buying Process = User, Influencer, Buyer, Decider, Gatekeeper.

Eight Steps of Business Buying Process = Problem Recognition, General Need Description, Product Specification, Supplier Search, Proposal Solicitation, Supplier Selection, Order-Routine Specification, Performance Review.

Institutional Markets = Schools, Hospitals, Railways, Airlines, Prisons.

Government Markets = Government agencies purchasing through tenders and bidding.

Gatekeeper = Controls the flow of information within the organization.

Derived Demand and Participants of Buying Process are frequently asked exam topics.

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Theme 6: Important MCQs

1. What is a Business Market?

- A) Market where products are sold to final consumers
 - B) Market where products and services are sold to organizations ✓**
 - C) Market where products are sold only online
 - D) Market where products are sold internationally
-

2. Business demand that depends on consumer demand is called:

- A) Primary Demand
 - B) Elastic Demand
 - C) Derived Demand ✓**
 - D) Seasonal Demand
-

3. Which of the following is a characteristic of business markets?

- A) Large number of customers with small purchases
 - B) Few customers generating high revenue ✓**
 - C) No relationship between buyers and sellers
 - D) Demand independent of consumer markets
-

4. Which buying situation involves routine purchasing without any changes?

- A) Straight Rebuy ✓**
- B) Modified Rebuy
- C) New Task

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D) Complex Buy

5. Which buying situation occurs when a product is purchased for the first time?

- A) Straight Rebuy
 - B) Modified Rebuy
 - C) New Task ✓**
 - D) Routine Buy
-

6. Who has the authority to place orders and negotiate purchasing terms?

- A) User
 - B) Influencer
 - C) Buyer ✓**
 - D) Gatekeeper
-

7. Who controls the flow of information within an organization?

- A) Decider
 - B) User
 - C) Buyer
 - D) Gatekeeper ✓**
-

8. Which factor includes economic conditions, technology, politics, and culture?

- A) Environmental Factors ✓**

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- B) Organizational Factors
 - C) Individual Factors
 - D) Interpersonal Factors
-

9. Which is the first step in the business buying process?

- A) Problem Recognition ✓**
 - B) Supplier Search
 - C) Product Specification
 - D) Performance Review
-

10. Government markets usually award contracts through:

- A) Random Selection
- B) Personal Recommendation
- C) Competitive Bidding and Tenders ✓**
- D) Lottery System

Theme 7: Customer Driven Marketing Strategy

Customer Driven Marketing Strategy

To implement a customer-driven marketing strategy, companies must answer two important questions.

Which customers can we serve?

How can we serve them effectively?

The strategy is based on four major foundations: Segmentation, Targeting, Differentiation, and Positioning.

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Segmentation and Targeting help in selecting customers to serve, while Differentiation and Positioning help in deciding the value proposition.

Market Segmentation

Market segmentation is the process of dividing a market into smaller groups of consumers who have similar needs, characteristics, or behaviors.

Segmentation helps organizations understand customers better and design suitable marketing programs for each group.

Geographic Segmentation

Geographic segmentation divides the market based on geographical factors.

It is useful for products whose demand varies according to location and climate.

Variables include regions of the world, climate conditions, and population density.

Examples include Asia, Europe, North America, rainfall, temperature, urban areas, and rural areas.

Demographic Segmentation

Demographic segmentation divides consumers based on measurable population characteristics.

It is the most widely used segmentation method because it is easy to measure and strongly linked with customer needs.

Variables include age, gender, occupation, income, education, family composition, and household size.

Psychographic Segmentation

Psychographic segmentation divides consumers according to lifestyle, personality, values, and social class.

It focuses on understanding how people think and live.

Variables include lifestyle preferences, personality traits, and social class categories.

Examples include preference for luxury brands, organic products, ambitious personalities, and upper-class consumers.

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Behavioral Segmentation

Behavioral segmentation divides consumers based on their behavior toward a product.

It focuses on product usage, knowledge, frequency of use, and reactions.

Variables include usage patterns, product awareness, and user frequency such as light users, medium users, and heavy users.

Segmentation in Business Markets

Business market segmentation focuses on organizational characteristics rather than individual consumer characteristics.

Variables include operational characteristics, purchasing approaches, situational factors, and personal characteristics of decision-makers.

International Market Segmentation

International market segmentation divides global markets into groups based on common characteristics.

Countries may be segmented according to geographic location, economic conditions, political systems, and cultural factors.

Companies often segment markets by region such as Western Europe, Middle East, Africa, and Asia.

Requirements for Effective Segmentation

Measurable

The size, purchasing power, and characteristics of a segment should be measurable.

Accessible

The segment should be reachable and serviceable through marketing efforts.

Substantial

The segment should be large and profitable enough to justify investment.

Differentiable

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The segment should respond differently from other segments to marketing activities.

Actionable

The company must be able to design effective marketing programs for the selected segment.

Market Targeting

Market targeting is the process of evaluating market segments and selecting one or more segments to serve.

The selected group of customers is called the target market.

Organizations consider segment size, growth potential, attractiveness, resources, and objectives before selecting a target market.

Target Market

A target market is a group of buyers who share common needs and characteristics that a company chooses to serve.

A successful target market should align with company goals and available resources.

B2B Market Segmentation

B2B segmentation is more complex than B2C segmentation because business customers have unique requirements.

Organizations consider industry type, company size, legal form, sales volume, market share, financial strength, and employee numbers while selecting business customers.

Decision-makers' needs, experiences, attitudes, and information requirements are also important.

Undifferentiated (Mass) Marketing

Undifferentiated marketing targets the entire market with a single marketing offer.

The focus is on common customer needs rather than differences.

This strategy is often called "one-size-fits-all."

Differentiated (Segmented) Marketing

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Differentiated marketing targets several market segments with separate marketing programs for each segment.

The objective is to achieve greater sales and stronger market positions.

This strategy focuses on customer differences.

Concentrated (Niche) Marketing

Concentrated marketing focuses on one specialized segment of the market.

It is also known as niche marketing.

The company concentrates all efforts on serving a specific customer group.

Example: A company targeting only BMW owners.

Micro Marketing

Micro marketing involves customizing products and marketing programs according to the needs of individual customers.

It is also called tailor-made marketing.

The focus is on serving customers at an individual level.

Local Marketing

Local marketing designs products and marketing programs according to the needs of specific local areas.

Different product assortments may be offered in high-income and low-income areas.

Product Positioning

Product positioning is the place a product occupies in the minds of customers compared to competitors.

Positioning helps customers perceive a product as unique and superior.

The process of creating this desired image is called positioning.

Competitive Advantage

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Competitive advantage is the ability of a company to offer greater value than competitors.

This value may come from lower prices or superior benefits that justify higher prices.

Competitive advantage forms the basis of successful positioning.

Types of Differentiation

Product Differentiation

The product offers unique features or functions compared to competitors.

Service Differentiation

The company provides superior services such as after-sales support.

Channel Differentiation

The company uses different distribution channels such as online sales.

People Differentiation

Employees provide better customer service and interaction.

Image Differentiation

The company creates a unique and positive brand image.

Characteristics of Effective Differences

Differences should be important to customers.

Differences should be distinctive and clearly separate the product from competitors.

Differences should be superior in quality or performance.

Differences should be communicable and easy to explain.

Differences should be difficult for competitors to copy.

Differences should be affordable for customers.

Differences should be profitable for the company.

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Value Proposition

Value proposition is the complete mix of benefits offered to customers by a brand.

It answers the customer's question: "Why should I buy this brand?"

The value proposition helps position the product more effectively than competitors.

Types of Value Propositions

More for More

The company offers more benefits at a higher price.

More for the Same

The company offers more benefits at the same price as competitors.

More for Less

The company offers more benefits at a lower price.

The Same for Less

The company offers similar benefits at a lower price.

Less for Much Less

The company offers fewer benefits but at a significantly lower price.

Important Exam Points

Customer Driven Marketing Strategy = Segmentation + Targeting + Differentiation + Positioning.

Four Types of Segmentation = Geographic, Demographic, Psychographic, Behavioral.

Requirements of Effective Segmentation = Measurable, Accessible, Substantial, Differentiable, Actionable.

Market Targeting = Selecting the most suitable market segment after evaluation.

Target Market = Group of buyers with common needs that a company decides to serve.

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Five Target Market Strategies = Undifferentiated Marketing, Differentiated Marketing, Concentrated Marketing, Micro Marketing, Local Marketing.

Positioning = Creating a unique place in the customer's mind.

Competitive Advantage = Greater value through lower prices or superior benefits.

Five Types of Differentiation = Product, Service, Channel, People, Image.

Value Proposition = Answer to the question "Why should I buy your brand?"

Five Value Propositions = More for More, More for the Same, More for Less, The Same for Less, Less for Much Less.

Most Important Exam Topic: STDP Model = Segmentation → Targeting → Differentiation → Positioning. ✓

Theme 7: Important MCQs

1. Which four foundations form a Customer Driven Marketing Strategy?

A) Planning, Organizing, Staffing, Controlling

B) Segmentation, Targeting, Differentiation, Positioning ✓

C) Product, Price, Place, Promotion

D) Research, Development, Testing, Selling

2. Market segmentation means:

A) Selling products globally

B) Dividing a market into smaller groups with similar needs ✓

C) Increasing product prices

D) Promoting products through advertising

3. Which type of segmentation uses age, gender, income, and occupation?

A) Geographic Segmentation

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B) Demographic Segmentation ✓

C) Behavioral Segmentation

D) Psychographic Segmentation

4. Lifestyle, personality, and social class are variables of:

A) Geographic Segmentation

B) Demographic Segmentation

C) Psychographic Segmentation ✓

D) Behavioral Segmentation

5. Which segmentation is based on product usage, knowledge, and frequency of use?

A) Demographic Segmentation

B) Geographic Segmentation

C) Behavioral Segmentation ✓

D) Psychographic Segmentation

6. Which of the following is NOT a requirement of effective segmentation?

A) Measurable

B) Accessible

C) Differentiable

D) Expensive ✓

7. Market targeting refers to:

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A) Dividing the market into groups

B) Selecting the most attractive segment to serve ✓

C) Designing a new product

D) Setting product prices

8. Which marketing strategy targets the whole market with one offer?

A) Undifferentiated (Mass) Marketing ✓

B) Concentrated Marketing

C) Local Marketing

D) Micro Marketing

9. Concentrated marketing is also known as:

A) Mass Marketing

B) Differentiated Marketing

C) Niche Marketing ✓

D) Local Marketing

10. Value proposition answers which customer question?

A) Where should I buy?

B) When should I buy?

C) How much should I buy?

D) Why should I buy your brand? ✓

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Theme 8: Product, Brands & Services

Product

A product is anything that can be offered to a market for consumption and satisfies a customer's need or want.

The use of a product creates a product experience, which is the overall value and satisfaction received by the customer.

Three Levels of Product

Core Customer Value

Core customer value is the main benefit that a customer receives from a product.

It answers the question: What problem is the product solving?

For example, the core value of toothpaste is oral cleaning.

Actual Product

The actual product includes quality, features, design, packaging, and brand name.

It transforms the core benefit into a real product that customers can purchase.

Augmented Product

The augmented product includes additional benefits such as warranties, delivery, after-sales service, and customer support.

These extra services increase customer satisfaction and product value.

Types of Products

Products are divided into two main categories: Consumer Products and Industrial Products.

Consumer Products

Consumer products are purchased for personal use and consumption.

Examples include milk, bread, soap, and toothpaste.

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Convenience Products

Convenience products are inexpensive products purchased frequently with minimum effort and comparison.

Examples include coffee, soft drinks, and snacks.

Shopping Products

Shopping products require comparison of quality, price, features, and style before purchase.

Examples include cars, bikes, furniture, and electronics.

Specialty Products

Specialty products have unique characteristics or strong brand identification.

Customers make special efforts to purchase them.

Examples include luxury cars, designer clothing, and professional cameras.

Unsought Products

Unsought products are products that customers do not normally think about buying or may not know about.

Examples include life insurance, funeral services, and blood donation services.

Industrial Products

Industrial products are purchased by organizations for business use and production purposes.

Capital Items

Capital items are industrial products that assist in production or operations.

Examples include factories, machinery, and equipment.

Materials and Parts

Materials and parts include raw materials and manufactured components used in production.

Examples include steel, wood, and electronic parts.

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Supplies and Services

Supplies and services include operating supplies, maintenance items, and business services.

Examples include fuel, repair services, and office supplies.

Organizational Marketing

Organizational marketing consists of activities designed to create, maintain, or change customer attitudes toward an organization.

Its main objective is to build a positive organizational image.

Person Marketing

Person marketing consists of activities designed to create, maintain, or change attitudes toward individuals.

Political campaigns often use person marketing to promote leaders.

Place Marketing

Place marketing promotes specific locations, cities, regions, or countries.

It is commonly used to encourage tourism and attract investment.

Social Marketing

Social marketing uses marketing tools and techniques to influence behavior for the benefit of society.

Its objective is social welfare and positive behavioral change.

Product Decisions

Product decisions are divided into three levels: Individual Product Decisions, Product Line Decisions, and Product Mix Decisions.

Individual Product Decisions

Attributes

Attributes include quality, design, features, and performance of a product.

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Packaging

Packaging involves designing and producing containers or wrappers for products.

Labeling

Labeling provides product information, identification, and promotion.

Branding

Branding includes name, logo, symbol, and design used to identify products.

Support Services

Support services include warranties, customer service, and after-sales support.

Product Line Decisions

A product line is a group of related products sold to similar customers or serving similar purposes.

Product line length refers to the number of products within a product line.

Line Stretching

Line stretching occurs when a company expands a product line by introducing products with new features or characteristics.

Line Filling

Line filling occurs when additional products are added within an existing product range to fill market gaps and reduce competition.

Product Mix Decisions

Product mix consists of all product lines and products offered by a company.

Width

Width refers to the number of different product lines offered by a company.

Length

Length refers to the total number of products in all product lines.

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Depth

Depth refers to the number of variations available for each product.

Consistency

Consistency refers to how closely related different product lines are.

Brand

A brand represents customers' perceptions, feelings, and experiences regarding a product.

It helps customers recognize and recall a product easily.

The brand-building process includes name selection, positioning, sponsorship, and development.

Brand Positioning

Brand positioning refers to the image a brand occupies in the minds of customers.

It helps customers distinguish a brand from competitors.

Positioning can be based on attributes, benefits, beliefs, or values.

Brand Name Selection

A good brand name should be easy to pronounce and remember.

It should suggest product benefits and qualities.

It should be distinctive, legally protected, and suitable for global markets.

Brand Sponsorship

Brand sponsorship occurs when one brand supports another activity, event, organization, or person for mutual benefits.

Manufacturer Brand

The manufacturer's own name is used as the brand.

Example: Pepsi.

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Private Brand

Retailers sell products under their own brand names.

Licensed Brand

A company obtains permission to use another company's brand name.

Co-Branding

Two or more brands work together to market a product or service.

Brand Development Strategies

Line Extension

Adding new sizes, flavors, colors, or forms within an existing product category.

Brand Extension

Using an existing brand name to launch a new product category.

Multi-Brands

Marketing several brands within the same product category.

New Brands

Launching a completely new product category under a new brand name.

Services

A service is an intangible activity or benefit offered to customers in exchange for value.

Examples include transportation, healthcare, education, and banking.

Characteristics of Services

Intangibility

Services cannot be seen, touched, or stored before purchase.

Inseparability

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Services are produced and consumed at the same time.

Variability

Service quality may vary depending on who provides it and when it is provided.

Perishability

Services cannot be stored for future use.

Service-Profit Chain

The service-profit chain explains the relationship between employee satisfaction, customer satisfaction, customer loyalty, and profitability.

Satisfied employees provide better services.

Better services create satisfied and loyal customers.

Customer loyalty leads to business growth and profitability.

Services Marketing Triangle

The services marketing triangle explains the relationship between the company, employees, and customers.

Internal Marketing

Marketing activities between the company and employees.

The company trains and motivates employees to serve customers effectively.

Interactive Marketing

Marketing activities between employees and customers.

Employees interact directly with customers and influence satisfaction.

External Marketing

Marketing activities directed toward customers and prospective customers.

Its objective is to attract new customers and maintain relationships.

New Product Development Process

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The process begins with idea generation.

The next steps are idea screening, concept development and testing, marketing strategy development, business analysis, product development, test marketing, and commercialization.

Reasons for Product Failure

Poor product design.

Incorrect timing.

Overestimation of market size.

Wrong positioning.

High pricing.

Ineffective promotion.

Strong competition.

High development costs.

Product Life Cycle (PLC)

The Product Life Cycle describes the stages through which a product passes during its market life.

The stages are Product Development, Introduction, Growth, Maturity, and Decline.

Organizations focus on extending the growth and maturity stages to maximize profits.

Important Exam Points

Product = Anything offered to satisfy a need or want.

Three Levels of Product = Core Customer Value, Actual Product, Augmented Product.

Types of Products = Consumer Products and Industrial Products.

Consumer Product Types = Convenience, Shopping, Specialty, Unsought Products.

Industrial Product Types = Capital Items, Materials & Parts, Supplies & Services.

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Individual Product Decisions = Attributes, Packaging, Labeling, Branding, Support Services.

Product Mix Concepts = Width, Length, Depth, Consistency.

Brand Building Process = Name Selection, Positioning, Sponsorship, Development.

Brand Sponsorship Types = Manufacturer Brand, Private Brand, Licensed Brand, Co-Branding.

Brand Development Strategies = Line Extension, Brand Extension, Multi-Brands, New Brands.

Characteristics of Services = Intangibility, Inseparability, Variability, Perishability.

Services Marketing Triangle = Internal Marketing, Interactive Marketing, External Marketing.

New Product Development Steps = Idea Generation → Idea Screening → Concept Development & Testing → Marketing Strategy → Business Analysis → Product Development → Test Marketing → Commercialization.

Product Life Cycle Stages = Development → Introduction → Growth → Maturity → Decline.

Most Important Exam Topics: Three Levels of Product, Product Mix Concepts, Brand Development Strategies, Characteristics of Services, Service Marketing Triangle, and Product Life Cycle (PLC). ✓

Theme 8: Important MCQs

1. Which level of a product represents the main benefit received by the customer?

- A) Core Customer Value ✓
- B) Actual Product
- C) Augmented Product
- D) Product Line

2. Which level of a product includes warranty, delivery, and after-sales service?

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- A) Core Customer Value
 - B) Actual Product
 - C) Augmented Product ✓**
 - D) Product Mix
-

3. Toothpaste provides which core customer value?

- A) Fresh Fragrance
 - B) Attractive Packaging
 - C) Oral Cleaning ✓**
 - D) Brand Recognition
-

4. Which type of consumer product is purchased frequently with minimum effort?

- A) Convenience Product ✓**
 - B) Shopping Product
 - C) Specialty Product
 - D) Unsought Product
-

5. Life insurance is an example of:

- A) Convenience Product
 - B) Shopping Product
 - C) Specialty Product
 - D) Unsought Product ✓**
-

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6. Which industrial product category includes machinery and production equipment?

- A) Capital Items ✓
 - B) Materials and Parts
 - C) Supplies and Services
 - D) Specialty Products
-

7. Which product mix concept refers to the number of different product lines offered by a company?

- A) Width ✓
 - B) Length
 - C) Depth
 - D) Consistency
-

8. Which brand development strategy introduces a new product category under an existing brand name?

- A) Line Extension
 - B) Brand Extension ✓
 - C) Multi-Brands
 - D) New Brand
-

9. Which characteristic of services means that services cannot be stored for future use?

- A) Intangibility
- B) Variability

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C) Inseparability

D) Perishability ✓

10. Which stage comes after the Introduction stage in the Product Life Cycle?

A) Development

B) Growth ✓

C) Maturity

D) Decline

Theme 9: Price and Pricing

Price

Price is the amount of money charged for a product or service.

It is the value customers are willing to pay to obtain a product or service.

Price also includes all values, time, and efforts customers sacrifice to gain benefits.

Price is the only element of the marketing mix that generates profit, while Product, Place, and Promotion create costs.

Pricing

Pricing is the process of determining and setting the price of a product.

Before setting a price, companies consider Price Ceiling and Price Floor.

Price Ceiling is the maximum price customers can afford or are willing to pay.

Price Floor is the minimum price required to cover costs and remain profitable.

Most companies set prices between the price ceiling and price floor.

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Factors Affecting Pricing

Overall Marketing Strategy

Pricing depends on market segmentation, targeting, positioning, and value proposition.

Type of Demand

Price elasticity measures how sensitive demand is to price changes.

Elastic products experience large demand changes when prices change.

Inelastic products experience little demand change despite price changes.

Type of Market

Pricing differs in Monopoly, Duopoly, Oligopoly, Monopolistic Competition, and Perfect Competition markets.

Monopolies are price makers, while firms in perfect competition are price takers.

Economic Conditions

Factors such as GDP growth, inflation, exchange rates, per capita income, and trade balance affect pricing.

Government

Political stability, government policies, and economic systems influence prices.

Social Concerns

Companies may adjust prices to support society, students, senior citizens, and low-income groups.

Pricing Methods

Value-Based Pricing

Prices are set according to customer perceived value rather than production cost.

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Customer value is determined first, then the product is developed.

Cost-Based Pricing

Price is determined by adding production, distribution, and selling costs plus desired profit.

Competition-Based Pricing

Prices are set according to competitors' prices and market offerings.

Common in grocery, fruit, and vegetable markets.

Special Pricing Concepts

Good-Value Pricing

Customers perceive that the product value matches the price paid.

Everyday Low Pricing (EDLP)

Stores continuously offer products at low prices.

High-Low Pricing

Some products are sold at high prices while others are offered at discounted prices.

Pricing Strategies

New Product Pricing Strategies

Market Skimming Pricing

A high initial price is charged for a new, innovative, or premium product.

The objective is to recover development costs and maximize early profits.

Market Penetration Pricing

A low initial price is charged to quickly attract customers and gain market share.

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Product Mix Pricing Strategies

Product Line Pricing

Different prices are assigned to products within a product line to indicate quality differences.

Optional Product Pricing

Basic products are sold at lower prices while optional accessories are sold separately.

Captive Product Pricing

The main product is sold at a low price, while complementary products are sold at higher prices.

Example: Razors and razor blades.

By-Product Pricing

Companies sell by-products generated during production to recover costs.

Product Bundle Pricing

Several products are sold together at a reduced combined price.

Price Adjustment Strategies

Discount and Allowance Pricing

Price reductions and allowances are offered to customers and trade partners.

Segmented Pricing

Different customer groups pay different prices for the same product.

Example: Student and senior citizen discounts.

Psychological Pricing

Prices are set slightly below round numbers.

Example: Rs. 99 instead of Rs. 100.

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Promotional Pricing

Temporary price reductions are offered during special events and festivals.

Geographic Pricing

Different prices are charged in different geographic locations.

Dynamic Pricing

Prices change according to demand, events, or market conditions.

International Pricing

Prices vary across countries based on economic conditions, taxes, exchange rates, and costs.

Price Changes

Price Cuts

Price reductions occur due to excess inventory or the desire to increase market share.

Price Increases

Price increases occur because of rising costs, higher demand, or supply shortages.

Difference Between Price and Cost

Cost is the amount spent on producing a product, including labor, materials, and utilities.

Price is the amount charged from customers for that product.

Difference Between Centrally Planned Economy and Free Market Economy

In a centrally planned economy, the government controls production and pricing decisions.

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In a free market economy, prices are determined by supply and demand with little government intervention.

Important Exam Points

Price is the only profit-generating element of the marketing mix.

Price Ceiling = Maximum affordable price.

Price Floor = Minimum profitable price.

Factors Affecting Pricing = Overall Marketing Strategy, Demand, Market Type, Economic Conditions, Government, Social Concerns.

Pricing Methods = Value-Based, Cost-Based, Competition-Based.

Special Pricing Concepts = Good-Value Pricing, Everyday Low Pricing, High-Low Pricing.

New Product Pricing Strategies = Market Skimming Pricing and Market Penetration Pricing.

Product Mix Pricing Strategies = Product Line, Optional Product, Captive Product, By-Product, Product Bundle Pricing.

Price Adjustment Strategies = Discount & Allowance, Segmented, Psychological, Promotional, Geographic, Dynamic, International Pricing.

Price Changes = Price Cuts and Price Increases.

Psychological Pricing Example = Rs. 99 instead of Rs. 100.

Market Skimming = High Initial Price.

Market Penetration = Low Initial Price. ✓

Theme 9: Important MCQs (Price and Pricing)

1. Which element of the marketing mix generates profit?

A) Product

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- B) Place
 - C) Promotion
 - D) Price ✓**
-

2. What is Pricing?

- A) Selling products online
 - B) Promoting products
 - C) The process of determining and setting product prices ✓**
 - D) Distributing products
-

3. Price Ceiling refers to:

- A) The maximum price customers are willing to pay ✓**
 - B) The minimum profitable price
 - C) The production cost
 - D) The market demand
-

4. Price Floor is:

- A) Highest affordable price
 - B) Minimum price required to cover costs and remain profitable ✓**
 - C) Average market price
 - D) Competitor's price
-

5. Which pricing method uses customer perception of value as the basis for pricing?

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A) Value-Based Pricing ✓

B) Cost-Based Pricing

C) Competition-Based Pricing

D) Dynamic Pricing

6. In which pricing method is price determined by adding costs and desired profit?

A) Value-Based Pricing

B) Cost-Based Pricing ✓

C) Psychological Pricing

D) Segmented Pricing

7. Market Skimming Pricing involves:

A) Charging a low initial price

B) Charging a high initial price for a new product ✓

C) Matching competitor prices

D) Offering permanent discounts

8. The main objective of Market Penetration Pricing is to:

A) Maximize short-term profits

B) Recover R&D costs

C) Gain market share quickly ✓

D) Create a luxury image

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9. Which pricing strategy uses prices like Rs. 99 instead of Rs. 100?

- A) Geographic Pricing
- B) Segmented Pricing
- C) Psychological Pricing ✓**
- D) Dynamic Pricing

10. Selling several products together at a reduced combined price is called:

- A) Captive Product Pricing
- B) By-Product Pricing
- C) Optional Product Pricing
- D) Product Bundle Pricing ✓**

Theme 10: Marketing Communication (Summarized Notes)

Marketing Communication

Marketing communication refers to all activities used by a company to inform, persuade, and remind customers about its products and services.

Promotion is an activity that encourages consumers to recognize a product or service and make a purchase.

Promotion is the fourth "P" of the marketing mix and serves as a communication bridge between companies and customers.

Promotion Mix

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Promotion mix is the combination of communication tools used to achieve marketing objectives.

It helps inform customers about product value and influences purchasing behavior.

The main elements of promotion mix are Advertising, Sales Promotion, Personal Selling, and Public Relations.

Advertising

Advertising is a paid form of persuasive communication used to inform large numbers of consumers about products or services.

It can be delivered through newspapers, magazines, television, radio, posters, brochures, websites, social media, and other media channels.

The main objective of advertising is to increase awareness and encourage sales.

Sales Promotion

Sales promotion consists of short-term incentives used to encourage product purchase.

It helps attract new customers, increase sales, and strengthen customer loyalty.

Examples include discounts, coupons, contests, gifts, and special offers.

Personal Selling

Personal selling is direct interaction between a salesperson and a customer.

It allows personalized communication and immediate customer feedback.

Salespersons explain product benefits, answer customer questions, and help close sales.

It is considered one of the most effective promotional tools.

Public Relations (PR)

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Public relations focuses on building positive relationships between an organization and the public.

PR aims to create a favorable company image and maintain goodwill.

It targets both external audiences and internal employees.

Digital Marketing

Digital marketing uses internet-based technologies to promote products and services.

Examples include websites, social media, smartphones, online advertisements, and email marketing.

It allows businesses to reach customers quickly and efficiently.

Content Marketing

Content marketing involves creating and distributing valuable, relevant, and consistent content.

The goal is to attract and retain a specific audience.

Instead of directly selling products, content marketing focuses on solving customer problems through articles, videos, e-books, webinars, and blogs.

Integrated Marketing Communication (IMC)

IMC stands for Integrated Marketing Communication.

It ensures that all marketing activities deliver a consistent message and brand image across all channels.

The focus is on integrating communication rather than simply combining media channels.

A consistent brand image helps customers better understand and trust the company.

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Steps in Developing Effective Communication Strategy

Analyze the target audience.

Develop a communication strategy aligned with marketing objectives.

Set communication goals.

Evaluate communication alternatives such as advertising and promotions.

Select the most effective media channels for message delivery.

AIDA Model

The AIDA Model explains the stages a customer goes through before purchasing a product.

Attention

The advertisement must first capture the customer's attention.

Interest

After gaining attention, the advertisement should create customer interest.

Desire

Interest should lead to a desire for the product.

Action

The final goal is motivating the customer to take action and make a purchase.

AIDA = Attention → Interest → Desire → Action

Types of Marketing Messages

Rational Message

Uses logical arguments and product features to satisfy customer needs.

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Emotional Message

Appeals to customer feelings and emotions to build strong connections.

Moral Message

Focuses on truthfulness, ethics, legality, and social responsibility.

Messages must be honest, verifiable, and non-misleading.

Push and Pull Strategies

Push Strategy

Manufacturers encourage intermediaries and retailers to promote and sell products to customers.

Uses personal selling and trade promotions.

Pull Strategy

Manufacturers directly encourage consumers to demand products.

Uses advertising and consumer promotions.

Responsible Marketing

Responsible marketing focuses on social responsibility and environmental concerns.

Organizations communicate their social and environmental initiatives to improve brand image.

It helps build trust, loyalty, and long-term stakeholder relationships.

Mass Media

Mass media delivers information to large audiences.

Types of mass media include:

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Print Media = Newspapers, magazines, books, posters, flyers.

Video Media = Television, movies, computers.

Voice Media = Radio and audio recordings.

New Media = Internet, social media, smartphones.

Advertising Budget Allocation Methods

Competitive Parity Method

Budget is based on competitors' advertising spending.

Affordable Budget Method

The company spends only what it can afford on advertising.

Objective and Task Method

Budget is determined according to specific advertising objectives and required tasks.

Percentage of Sales Method

Advertising budget is set as a percentage of current or expected sales.

Importance of Product in Marketing Mix

Product is considered the most important element of the marketing mix.

Without a product, the remaining marketing mix elements cannot exist.

All marketing activities revolve around the product.

Important Exam Points

Promotion = Activity that encourages customers to purchase products.

Promotion Mix = Advertising, Sales Promotion, Personal Selling, Public Relations.

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Advertising = Paid persuasive communication through media.

Sales Promotion = Short-term incentives to increase sales.

Personal Selling = Direct interaction between salesperson and customer.

Public Relations = Building positive relationships and company image.

Digital Marketing = Marketing through internet-based devices and platforms.

Content Marketing = Valuable content used to attract and retain customers.

IMC = Integrated Marketing Communication (One Message, One Image).

AIDA Model = Attention → Interest → Desire → Action.

Types of Messages = Rational, Emotional, Moral.

Push Strategy = Push products through intermediaries.

Pull Strategy = Create customer demand through advertising.

Responsible Marketing = Socially and environmentally responsible marketing.

Mass Media Types = Print, Video, Voice, New Media.

Advertising Budget Methods = Competitive Parity, Affordable Budget, Objective & Task, Percentage of Sales.

Theme 10: Important MCQs (Marketing Communication)

1. Which “P” of the marketing mix is related to Marketing Communication?

A) Product

B) Price

C) Place

D) Promotion ✓

MGT301 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

2. Which of the following is NOT a component of the Promotion Mix?

- A) Advertising
 - B) Public Relations
 - C) Personal Selling
 - D) Product Development ✓**
-

3. Advertising is primarily used to:

- A) Manufacture products
 - B) Distribute products
 - C) Inform and persuade customers ✓**
 - D) Set product prices
-

4. Which promotional tool involves direct interaction between a salesperson and a customer?

- A) Advertising
 - B) Public Relations
 - C) Personal Selling ✓**
 - D) Sales Promotion
-

5. Which promotional tool provides short-term incentives to encourage purchases?

- A) Advertising
- B) Sales Promotion ✓**
- C) Public Relations
- D) Personal Selling

MGT301 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

6. What does IMC stand for?

- A) International Marketing Communication
 - B) Integrated Marketing Communication ✓**
 - C) Internal Marketing Communication
 - D) Interactive Marketing Communication
-

7. Which stage comes first in the AIDA Model?

- A) Attention ✓**
 - B) Interest
 - C) Desire
 - D) Action
-

8. Which type of message appeals to customers' emotions and feelings?

- A) Rational Message
 - B) Emotional Message ✓**
 - C) Moral Message
 - D) Informative Message
-

9. In a Pull Strategy, manufacturers mainly use:

- A) Trade Discounts
- B) Retailer Incentives
- C) Advertising and Consumer Promotions ✓**
- D) Wholesaler Pressure

MGT301 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

10. Which advertising budget method sets the budget as a percentage of sales?

- A) Affordable Budget Method
- B) Competitive Parity Method
- C) Objective and Task Method
- D) Percentage of Sales Method ✓**

Theme 11: Place / Distribution (Summarized Notes)

Place (Distribution)

Place or Distribution is the third "P" of the Marketing Mix.

It refers to all activities involved in making products available to customers at the right place and right time.

Distribution ensures that customers can easily access products through various channels and intermediaries.

Significance of Placement

Placement ensures the effective and timely availability of products to customers.

It connects producers with buyers through intermediaries such as wholesalers, distributors, and retailers.

The main objective is to make products conveniently available to target customers.

Value Delivery Network (VDN)

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A Value Delivery Network is a network of suppliers, distributors, and customers that work together to deliver value to the final customer.

It includes all stages from raw material supply to product delivery.

The purpose of the network is to ensure efficient product flow and customer satisfaction.

Partners in Value Delivery Network

There are two main types of partners.

Upstream Partners

Upstream partners are associated with the supply side.

They include raw material suppliers, parts suppliers, information providers, and expertise providers.

Their role is to help manufacturers produce products efficiently.

Downstream Partners

Downstream partners are associated with the customer side.

They include distributors, wholesalers, retailers, and customers.

Their role is to move products from producers to end users.

Intermediaries

Intermediaries are organizations or individuals that help manufacturers deliver products to customers.

Examples include wholesalers, retailers, distributors, and agents.

Intermediaries provide expertise, market knowledge, contacts, and efficient distribution services.

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Benefits of Intermediaries

Intermediaries help by reducing contact costs, matching products with customer needs, bridging time gaps, bridging place gaps, bridging possession gaps, providing financing, and sharing risks.

They make distribution more efficient and economical.

How Channel Members Add Value

Information

Providing market and customer information.

Promotion

Helping promote products.

Contact

Finding and communicating with buyers.

Matching

Adjusting products to customer requirements.

Negotiation

Reaching agreements on price and terms.

Physical Distribution

Transporting and storing products.

Financing

Providing funds for distribution activities.

Risk Taking

Sharing risks involved in carrying products.

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Marketing Channels

Marketing channels are groups of organizations that work together to move products from producers to consumers.

Each channel member performs a specific role in the distribution process.

Types of Marketing Channels

Direct Channel

Producer → Consumer

Products are sold directly to customers without intermediaries.

Example: Online company websites.

Indirect Channel

Producer → Retailer → Consumer

Retailers act as intermediaries between producers and consumers.

Longer Channel

Producer → Wholesaler → Retailer → Consumer

Both wholesalers and retailers help distribute products.

Conventional Distribution System

A conventional distribution system consists of independent producers, wholesalers, and retailers.

Each member operates separately and seeks its own profit.

There is no single leader controlling the channel.

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Vertical Marketing System (VMS)

A Vertical Marketing System (VMS) is a distribution system where producers, wholesalers, and retailers work together as a unified system.

The purpose is to improve efficiency and coordination.

Types of Vertical Marketing Systems

Corporate VMS

Successive stages of production and distribution are under one ownership.

Example: Textile companies owning their own retail outlets.

Contractual VMS

Independent firms work together through contractual agreements.

Examples include franchises and dealerships.

Types include manufacturer-sponsored retailer franchise, manufacturer-sponsored wholesaler franchise, and service firm-sponsored retailer franchise.

Administered VMS

Channel coordination is achieved through the power and influence of one dominant member.

No formal ownership or contract is required.

Horizontal Marketing System

A Horizontal Marketing System occurs when two or more companies at the same level cooperate to exploit a market opportunity.

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Examples include a bank branch inside a university and a tire shop at a gas station.

The arrangement creates mutual benefits and increased sales.

Multichannel Distribution System (Hybrid Marketing Channel)

A Multichannel Distribution System occurs when a company uses two or more marketing channels simultaneously.

Examples include retail stores, company websites, dealers, and distributors.

Benefits include greater market coverage, better customer service, and increased sales.

Channel Design Decisions

Analyze Customer Needs

Determine how customers prefer to buy products.

Set Channel Objectives

Define the purpose of using specific channels.

Identify Channel Alternatives

Evaluate available distribution options.

Evaluate Alternatives

Select the most effective channel based on cost, control, and coverage.

Types of Distribution

Intensive Distribution

Products are distributed through as many outlets as possible.

Used for convenience goods.

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Examples include soft drinks, snacks, and toothpaste.

Objective: Maximum market coverage.

Exclusive Distribution

Only selected dealers are allowed to sell products in a specific geographic area.

Used for specialty products.

Examples include cars, luxury watches, and premium electronics.

Objective: Maintain exclusivity and prestige.

Selective Distribution

Products are distributed through a limited number of selected intermediaries.

Used for shopping goods.

Examples include shoes, clothing, and watches.

Objective: Balance market coverage and control.

Important Exam Points

Place (Distribution) = Third "P" of Marketing Mix.

Value Delivery Network = Suppliers + Distributors + Customers working together.

Upstream Partners = Raw material suppliers, parts suppliers, information providers, and expertise providers.

Downstream Partners = Distributors, wholesalers, retailers, and customers.

Intermediaries = Wholesalers, retailers, distributors, and agents.

Functions of Channel Members = Information, Promotion, Contact, Matching, Negotiation, Physical Distribution, Financing, and Risk Taking.

MGT301 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Marketing Channels = Organizations involved in moving products to customers.

Direct Channel = Producer → Consumer.

Indirect Channel = Producer → Retailer → Consumer.

Conventional Distribution System = Independent channel members.

Vertical Marketing System (VMS) = Coordinated channel system.

Types of VMS = Corporate VMS, Contractual VMS, and Administered VMS.

Horizontal Marketing System = Same-level companies cooperate.

Multichannel Distribution System = Multiple channels used simultaneously.

Intensive Distribution = Maximum outlets for convenience goods.

Exclusive Distribution = Limited dealers for specialty goods.

Selective Distribution = Selected intermediaries for shopping goods.

Theme 11: Place / Distribution — Important MCQs

1. Which "P" of the marketing mix ensures the availability of products to customers?

- A) Product
- B) Price
- C) Promotion
- D) Place

✓ **Answer: D) Place**

2. A network of suppliers, distributors, and customers working together to deliver value is called:

- A) Marketing Mix
- B) Value Delivery Network
- C) Product Line
- D) Promotion Mix

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✓ **Answer: B) Value Delivery Network**

3. Raw material suppliers and parts suppliers are known as:

- A) Downstream Partners
- B) Retailers
- C) Upstream Partners
- D) Customers

✓ **Answer: C) Upstream Partners**

4. Marketing channels and distributors that move products toward customers are called:

- A) Upstream Partners
- B) Downstream Partners
- C) Suppliers
- D) Manufacturers

✓ **Answer: B) Downstream Partners**

5. Intermediaries mainly help producers by:

- A) Manufacturing products
- B) Reducing the number of contacts and distribution costs
- C) Increasing production costs
- D) Conducting research only

✓ **Answer: B) Reducing the number of contacts and distribution costs**

6. When a producer sells directly to consumers without intermediaries, it is called:

- A) Indirect Channel
- B) Hybrid Channel
- C) Direct Channel
- D) Franchise Channel

✓ **Answer: C) Direct Channel**

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7. In a Corporate Vertical Marketing System (VMS), production and distribution stages are:

- A) Independently owned
- B) Owned by competitors
- C) Under single ownership
- D) Managed by customers

✓ **Answer: C) Under single ownership**

8. Franchise organizations are an example of:

- A) Conventional Distribution System
- B) Contractual VMS
- C) Horizontal Marketing System
- D) Intensive Distribution

✓ **Answer: B) Contractual VMS**

9. When two or more companies at the same level join together to create a market opportunity, it is called:

- A) Vertical Marketing System
- B) Selective Distribution
- C) Horizontal Marketing System
- D) Exclusive Distribution

✓ **Answer: C) Horizontal Marketing System**

10. Which distribution strategy aims to place products in as many outlets as possible?

- A) Exclusive Distribution
- B) Selective Distribution
- C) Intensive Distribution
- D) Contractual Distribution

✓ **Answer: C) Intensive Distribution**

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Theme 12: Sustainable Marketing, Social Responsibility and Ethics (Summarized Notes)

Sustainable Marketing

Sustainable marketing means meeting current customer needs while preserving resources and opportunities for future generations.

It focuses on long-term business survival by balancing customer satisfaction, business goals, environmental protection, and social welfare.

Unlike societal marketing, which focuses more on present social welfare, sustainable marketing is future-oriented.

Criticism of Marketing

Marketing has been criticized for its negative effects on individuals, society, and other businesses.

Impact on Individuals

Marketing may negatively affect individuals through:

High prices of products.

Deceptive pricing practices such as psychological pricing (e.g., Rs. 999 instead of Rs. 1000).

Misleading sales promotions and poor-quality products.

High-pressure selling techniques.

Unsafe or harmful products.

Planned obsolescence, where companies frequently introduce new models to encourage repeated purchases.

Poor services for disadvantaged customers.

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Impact on Society

Marketing may create:

False wants and materialism.

Cultural pollution.

Overemphasis on commercial goods instead of social welfare.

Excessive consumption behavior.

Impact on Other Businesses

Aggressive marketing strategies may:

Create unfair competition.

Cause price wars.

Lead to unnecessary spending on advertising and promotions.

Increase product prices due to higher marketing costs.

Consumerism

Consumerism is a movement aimed at protecting consumer rights.

It is supported by citizens, consumer groups, and government institutions.

The goal is to ensure fair treatment of consumers and encourage companies to act responsibly.

Consumer Rights

Consumers have several important rights:

Right to buy or not buy products.

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Right to safe products.

Right to expect products to perform as promised.

Right to receive truthful information.

Right to influence company products and marketing practices.

Right to demand socially responsible and sustainable business behavior.

Environmentalism

Environmentalism is a movement focused on protecting the natural environment.

It supports sustainable marketing through environmentally friendly business practices.

Environmental Actions

Pollution Prevention

Reducing waste before it is created.

Includes recycling, waste management, and green production.

Product Stewardship

Reducing environmental impact throughout the product life cycle.

Design for Environment (DFE)

Designing products that are environmentally friendly and recyclable.

Clean Technologies

Using technologies that reduce environmental damage.

Examples include solar energy and electric vehicles.

Sustainability Vision

Developing long-term plans that support environmental protection and sustainable growth.

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Principles of Sustainable Marketing

Consumer-Oriented Marketing

Companies should view marketing activities from the customer's perspective.

Products should be useful, affordable, and environmentally responsible.

Customer Value Marketing

Companies should invest resources in creating value for customers.

Innovative Marketing

Businesses should continuously improve products and services to meet customer needs.

Sense-of-Mission Marketing

Organizations should define missions that include broader social objectives, not only profits.

Societal Marketing

Companies should consider society's welfare while pursuing business objectives.

Types of Products Based on Social Value

Desirable Products

Provide both immediate satisfaction and long-term benefits.

These are the ideal products for customers.

Deficient Products

Offer neither immediate satisfaction nor long-term benefits.

Salutary Products

Provide long-term benefits but may have low immediate appeal.

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Pleasing Products

Provide immediate satisfaction but may be harmful in the long run.

Marketing Ethics

Marketing ethics refers to moral principles and standards that guide marketing activities.

It includes fairness, honesty, responsibility, and respect toward customers and stakeholders.

Principles of Marketing Ethics

Do No Harm

Avoid actions that intentionally or unintentionally harm customers or society.

Follow all relevant laws and regulations.

Build Trust

Increase trust among customers and stakeholders through fair business practices.

Embrace Ethical Values

Practice honesty, fairness, respect, transparency, and responsible customer guidance.

Importance of Sustainable and Ethical Marketing

Organizations that satisfy customer needs ethically and sustainably are more likely to succeed in the long run.

Companies that ignore customer welfare, social responsibility, and environmental concerns may lose trust and decline in the future.

Sustainable marketing helps businesses build strong relationships with customers, society, and future generations.

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Important Exam Points

Sustainable Marketing = Meeting present needs without harming future generations.

Main Criticism of Marketing = Impact on Individuals, Society, and Other Businesses.

Planned Obsolescence = Frequent introduction of new product models to increase sales.

Consumerism = Movement that protects consumer rights.

Consumer Rights = Safety, truthful information, product performance, and fair treatment.

Environmentalism = Movement for environmental protection.

Pollution Prevention = Reducing waste before it is created.

Product Stewardship = Reducing environmental impact throughout product life cycle.

DFE (Design for Environment) = Designing recyclable and eco-friendly products.

Clean Technologies = Solar energy, electric vehicles, and other green technologies.

Principles of Sustainable Marketing = Consumer-Oriented, Customer Value, Innovative, Sense-of-Mission, Societal Marketing.

Desirable Products = Immediate satisfaction + Long-term benefits.

Deficient Products = No immediate satisfaction and no long-term benefits.

Salutary Products = Long-term benefits but low immediate appeal.

Pleasing Products = Immediate satisfaction but possible long-term harm.

Marketing Ethics = Honesty, fairness, trust, responsibility, and respect.

Key Ethics Principles = Do No Harm, Build Trust, Embrace Ethical Values.

1. Sustainable marketing focuses on:

A) Only current profits

B) Meeting present needs without harming future generations ✓

C) Increasing sales only

D) Reducing product quality

MGT301 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

2. Which concept is more future-oriented than societal marketing?

- A) Product Marketing
- B) Social Marketing
- C) Sustainable Marketing ✓**
- D) Direct Marketing

3. Introducing new product models frequently to encourage repeated purchases is called:

- A) Product Stewardship
- B) Customer Value Marketing
- C) Planned Obsolescence ✓**
- D) Market Penetration

4. Consumerism is a movement aimed at:

- A) Increasing company profits
- B) Protecting consumer rights ✓**
- C) Reducing competition
- D) Promoting exports

5. Which of the following is a basic consumer right?

- A) Right to set product prices
- B) Right to receive truthful information ✓**
- C) Right to control production
- D) Right to avoid taxes

6. Environmentalism is mainly concerned with:

- A) Increasing advertising budgets
- B) Expanding product lines
- C) Protecting the natural environment ✓**
- D) Reducing product prices

MGT301 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

7. Designing products that are recyclable and environmentally friendly is known as:

- A) Consumerism
 - B) Product Line Extension
 - C) Design for Environment (DFE) ✓**
 - D) Market Segmentation
-

8. Which principle of sustainable marketing emphasizes creating maximum value for customers?

- A) Consumer-Oriented Marketing
 - B) Customer Value Marketing ✓**
 - C) Sense-of-Mission Marketing
 - D) Societal Marketing
-

9. Products that provide immediate satisfaction and long-term benefits are called:

- A) Deficient Products
 - B) Pleasing Products
 - C) Salutary Products
 - D) Desirable Products ✓**
-

10. Which marketing ethics principle focuses on avoiding harmful actions and following laws?

- A) Build Trust
 - B) Embrace Ethical Values
 - C) Do No Harm ✓**
 - D) Customer Satisfaction Principle
-

Theme 13: Digital Marketing (Summarized Notes)

Digital Marketing Concept

MGT301 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Digital marketing refers to marketing of products and services using internet and digital technologies.

Unlike conventional marketing, it uses online platforms such as websites, social media, mobile apps, and search engines.

It allows companies to reach global audiences quickly and efficiently.

Difference Between Conventional and Digital Marketing

Conventional marketing uses traditional media like TV, newspapers, radio, billboards, and brochures.

Digital marketing uses internet-based tools such as social media, websites, emails, and online ads.

Digital marketing is more cost-effective compared to conventional marketing.

It has wider global reach compared to limited local reach in traditional marketing.

Digital marketing allows direct interaction with customers, which is not possible in traditional marketing.

Performance in digital marketing can be measured accurately through clicks, views, and conversions.

History of Digital Marketing

Digital marketing started with the rise of the internet.

The term internet was first used in 1974.

In 1990, digital marketing emerged along with search engines like Archie.

First clickable ads appeared in 1993.

Google was launched in 1998, followed by major platforms like Yahoo, MSN, Facebook, YouTube, Twitter, and LinkedIn.

Social media growth significantly increased digital marketing opportunities.

MGT301 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Internet of Things (IoT) expanded digital connectivity to devices and machines.

Digital Marketing Tools and Techniques

Digital marketing uses several tools such as:

Digital Display Advertising (DDA)

Social Media Marketing (SMM)

Mobile Marketing / Location-Based Marketing

Content Marketing

Search Engine Optimization (SEO)

Pay Per Click (PPC) Advertising

Digital Display Advertising (DDA)

DDA uses visual ads like banners, videos, images, and popups on websites.

Ads are shown on high-traffic websites to reach targeted audiences.

It includes four steps: define, format, configure, and analyze.

It helps increase awareness and brand visibility.

Social Media Marketing (SMM)

SMM uses platforms like Facebook, YouTube, Twitter, blogs, and microblogs for promotion.

It allows direct interaction with customers.

It helps measure audience response effectively.

It has massive global reach and user engagement.

MGT301 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Mobile and Location-Based Marketing

Mobile marketing uses smartphones to send promotional messages.

Location-based marketing uses GPS to target customers based on their location.

It enables personalized and real-time marketing messages.

Content Marketing

Content marketing involves creating and sharing valuable content to attract customers.

Content types include blogs, videos, images, and articles.

It focuses on educating and engaging customers instead of direct selling.

Good content should be unique, shareable, relevant, and trustworthy.

Search Engine Optimization (SEO)

SEO is the process of improving website visibility on search engines.

It helps websites appear in organic search results.

It increases website traffic without paid advertising.

It works by optimizing keywords and website structure.

Pay Per Click (PPC) Advertising

PPC is a paid advertising model where advertisers pay per click.

Ads appear based on user search keywords.

It works through bidding and ad auctions.

It helps generate targeted traffic quickly.

MGT301 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

4Ps in Digital Marketing

Digital Product includes digital goods like e-books, software, music, and online services.

Digital Price uses strategies like freemium, value-based pricing, and reframing pricing.

Digital Place refers to online platforms where buying and selling occur.

Digital Promotion includes online advertising, social media, and digital communication tools.

Consumers in Digital World

Digital consumers are more informed and empowered.

They have access to multiple online platforms for information.

Types of digital consumers include basic users, brand scouts, and calculated shoppers.

They compare products easily and influence marketing strategies.

Importance of Digital Marketing

It provides global reach and cost efficiency.

It improves customer engagement and interaction.

It allows accurate measurement of performance.

It supports targeted and personalized marketing strategies.

Important Exam Points

Digital Marketing = Marketing through internet and digital platforms.

Conventional vs Digital = Cost, reach, interaction, and measurability differences.

MGT301 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

Tools of Digital Marketing = DDA, SMM, SEO, PPC, Content Marketing, Mobile Marketing.

SEO = Organic traffic improvement through search engines.

PPC = Paid ads based on clicks.

Content Marketing = Valuable content to attract customers.

SMM = Social media-based marketing and engagement.

4Ps in Digital = Product, Price, Place, Promotion in online form.

Digital marketing enables global reach, interaction, and measurable results.

Theme 13: Digital Marketing — 10 Important MCQs

1. Digital marketing mainly uses which medium?

- A) Television
- B) Newspapers
- C) Internet and digital technologies
- D) Radio

✓ **Correct: C**

2. Which is NOT a benefit of digital marketing?

- A) Global reach
- B) High cost compared to TV ads
- C) Measurable results
- D) Customer interaction

✓ **Correct: B**

3. PPC stands for:

- A) Pay Per Customer
- B) Pay Per Click
- C) Product Price Control
- D) Paid Promotion Channel

✓ **Correct: B**

4. SEO is used for:

- A) Paid advertisements
- B) Increasing website ranking organically

MGT301 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

- C) Social media posting
- D) Email sending

✓ **Correct: B**

5. Which of the following is a tool of digital marketing?

- A) Billboards
- B) Social Media Marketing
- C) Newspapers
- D) Radio ads

✓ **Correct: B**

6. In digital display advertising, ads are shown on:

- A) Television screens
- B) Radio stations
- C) Web pages
- D) Newspapers only

✓ **Correct: C**

7. Content marketing focuses on:

- A) Direct selling only
- B) Providing valuable and useful content
- C) Price wars
- D) Physical distribution

✓ **Correct: B**

8. Which is a key feature of social media marketing?

- A) No interaction with customers
- B) One-way communication only
- C) Customer engagement and interaction
- D) Offline promotion only

✓ **Correct: C**

9. Digital Place refers to:

- A) Physical store
- B) Online environment for business transactions
- C) Warehouse
- D) Factory location

✓ **Correct: B**

MGT301 IMPORTANT NOTES + EXAM KEY POINTS + LECTURE WISE MCQS

10. Digital consumers are generally:

- A) Less informed
- B) More empowered and informed
- C) Not interested in comparison
- D) Dependent on TV ads only

✓ Correct: B

THE END

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